

Research Briefing | Italy

New restrictions to push Italy into double dip recession

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New restrictions will be in place for one month

- From tomorrow and lasting for one month there will be new restrictions in Italy. But differently from the previous lockdown there is some strong heterogeneity across regions. This second round of restrictions will cause activity to drop over the coming weeks, but we expect it to be less economically damaging than the spring lockdown. We now see Italian GDP falling by around 2% q/q in Q4, a relatively mild drop compared to the 18% fallout seen in H1.
- The services sector, and in particular hospitality, will take the brunt of the hit, with overall services activity posting another strong drop in Q4. Manufacturing and construction, supported also by some positive base effect stemming from the strong summer rebound, will partially offset the fall in Q4 GDP. But risks of a deeper recession looms, particularly if global demand weakens abruptly or if stronger restrictions have to be applied.

As the virus has gotten out of control in many parts of Italy, the government has decided to implement stricter containment measures, with the new rules valid for one month, until the 3rd of December. On top of a nationwide curfew the new system will be three-tiered (**Figure 1**), with some strong heterogeneity across regions. The main differences will be in the hospitality sector, with bars and restaurants open only in the so-called “yellow” regions, and for non-essential retail stores closed in the “red” regions, those with stricter rules. Moreover, both the school years affected by distance learning and the degree of freedom in travelling will vary across regions as well.

Figure 1:

Italy: Virus containment measures (from 6 th of November until 3 rd of December)			
	Red regions	Orange regions	Yellow regions
Regions (the stringency of the measures in each region can change according to the health situation, which is monitored through a weekly report from the "Istituto Superiore di Sanita")	Piemonte, Valle d'Aosta, Lombardia, Calabria Around 32% of GDP	Puglia, Sicilia Around 9% of GDP	All the others Around 59% of GDP
Social distancing			
Going to work	Allowed (but remote working is recommended)	Allowed (but remote working is recommended)	Allowed (but remote working is recommended)
Schools	Distance learning for specific years	Distance learning for specific years	Distance learning for specific years
Hospitality sector			
Restaurants and bars	Closed (except delivery)	Closed (except delivery)	Open until 6pm
Contact-intensive services			
Gyms, cinemas, museums, etc	Closed	Closed	Closed
Retail			
Essential (food, pharmacy)	Open	Open	Open
Non-Essential	Closed	Open	Open
Travel			
	Extremely Limited	Limited	Allowed
	Curfew from 10 pm		

Source: Oxford Economics on governments' decisions

New system will be three-tiered with strong heterogeneity across regions

The most restrictive limitations, with both restaurants and non-essential shops shut down, will start to be applied to four regions only (**Figure 1**). Overall, these regions account for around a third of the Italian economy. The “orange” regions, those that, among other things will have their hospitality sector closed but not their non-essential shops, account for around 10% of the Italian economy. The rest of Italy will for now broadly see a continuation of the current rules, except for the introduction of an evening curfew and some further limitations for shopping centres. However, the decree states that the status of a region can change, in line with the evolution of the health numbers, with potentially more regions entering the groups facing the most severe restrictions. Indeed, other regions, such as Veneto, Liguria and Campania, which combined represent another 20% of Italian GDP, are reported as being at high risk of moving into the “orange” group.

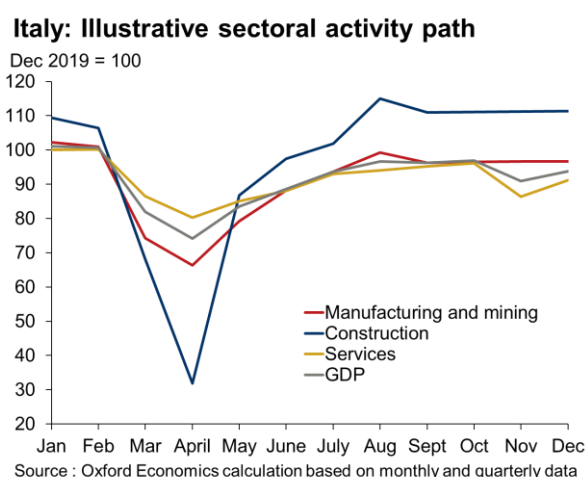
The new containment measures will cause a double dip in the Italian economy, with output expected to contract again in Q4. We now forecast a fall by around 2% in GDP in Q4 2020 – much smaller than the 13% fall in Q2 and the 5.5% drop seen in Q1. The deterioration in Q4 will mechanically translate into lower annual growth in 2021. Overall, we now expect GDP to expand by 4.8% in 2021, from 6% previously. But the 2020 drop will be smaller than previously expected, at -8.6%, after the stronger-than-expected Q3 outturn.

Measures to contain second infection wave are much less harsh than in March

In line with developments seen in other countries, and in contrast to the spring lockdown, the containment measures this time will not affect neither the industrial nor the construction sector. This, as we already argued for the [German](#)-lite lockdown, will be the main difference with respect to the restrictions put in place in spring. Back then, Italian industrial activity fell more than 40% between Q4 2019 and April, and with construction it accounted for 6ppts of the 18% GDP drop in H1. Moreover, many of the impacted sectors have continued to operate well below pre-pandemic levels, with the lower base leaving less scope for output to fall as sharply this time.

Our current forecast is also based on the assumption that industrial activity will remain at a reasonably strong levels in the coming months (**Figure 2**), reverting only marginally from the very robust outturn posted in August, where both construction and industrial activity surpassed their pre-crisis level. The resilience of the manufacturing has been confirmed in recent surveys, such as the [manufacturing](#) PMI for October, which hit a two and half year high. But this view entails some risks, in particular if global demand starts to deteriorate strongly, alongside a full new round of containment measures. Moreover, there is a strong chance that new restrictions will be imposed, further aggravating the fall in Q4 activity.

Figure 2:



Following the sharp fall in GDP in H1, latest indicators such as industrial and construction activity surpassed their pre-crisis level. But going forward we expect a moderation in industry, as well as a fall in services activity, caused by the recent new restrictions.